

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

CE GLOBAL NETWORK LLP., *Claimant*

v.

OCEAN LINE LOGISTICS, INC., *Respondent*.

DOCKET NO. 2056(I)

Served: September 10, 2026

ORDER OF: Debra L. TESH, *Small Claims Officer*.

ORDER REJECTING RESPONDENT’S PETITION FOR RECONSIDERATION AND DENYING MOTION FOR STAY

I. BACKGROUND

On March 20, 2026, Claimant filed an informal small claims complaint (“Claim”) with the Federal Maritime Commission (“FMC” or “Commission”), alleging that Respondent violated the Shipping Act and seeking reparation in the amount of \$20,000.

On July 31, 2026, an Initial Decision was issued, granting the Claim and awarding reparations to Claimant in the amount of \$20,000 plus interest. Specifically, the Initial Decision found that Respondent violated 46 U.S.C. § 41102(c) by engaging in an unreasonable practice of withholding release of nine fully paid shipments until Claimant paid \$20,000 as security on four previous shipments under different bills of lading.

On August 24, 2026, Respondent timely submitted a Petition for Reconsideration of the Initial Decision (“Petition for Reconsideration”) and Motion to Stay Effect and Enforcement of Initial Decision (“Motion to Stay”) pursuant to 46 C.F.R. § 502.304(h). On the same date, Claimant filed a Short Response Supporting the Initial Decision and Opposing Respondent’s Motion to Stay (“Claimant’s Response”).

II. APPLICABLE LAW

Pursuant to 46 C.F.R. § 502.304(g), an Initial Decision does not become final unless the Commission elects to review it within thirty (30) days of service. The filing of a petition for reconsideration acts as a stay of the review period described in the Commission Rule 304(g) by operation of law. 46 C.F.R. § 502.304(h). Upon issuance of a decision or order on reconsideration by the Small Claims Officer, the review period prescribed in Commission Rule 304(g) recommences. *Id.*

Commission Rule 304 governs petitions for reconsideration. 46 C.F.R. § 502.304(h). The rule limits the grounds upon which such petitions may be filed and provides that the Commission will summarily reject a petition unless it:

- (1) Specifies that there has been a change in material fact or in applicable law, which change has occurred after issuance of the decision or order;
- (2) identifies a substantive error in material fact contained in the decision or order; or
- (3) addresses a material matter in the Small Claims Officer's decision upon which the petitioner has not previously had the opportunity to comment.

Petitions which merely elaborate upon or repeat arguments made prior to the decision or order will not be received. 46 C.F.R. § 502.304(h).

III. DENIAL OF MOTION TO STAY

Respondent's Motion to Stay requests a stay of enforcement of the Initial Decision pending disposition of the Petition for Reconsideration and "for a reasonable period in which Respondent may seek judicial review and interim relief from the appropriate United States Court of Appeals."

The informal small claims process in Subpart S provides for an automatic stay during the review period until the Initial Decision becomes final, either because the Commission declines to review or affirms the Initial Decision ruling. 46 C.F.R. § 502.304(g)-(h). Because the Initial Decision is stayed by operation of law pending disposition of Respondent's Petition for Reconsideration, Respondent's request for a stay during that period is unnecessary.

Respondent also requests a stay of enforcement for a reasonable period to seek judicial review and interim relief from the appropriate United States Court of Appeals. The rules governing small claims proceedings in Subpart S provide for a stay only during the limited period before an Initial Decision becomes final and do not authorize a stay to permit a party to seek judicial review or interim relief in a United States Court of Appeals. Accordingly, Respondent's Motion to Stay is denied.

IV. PARTY ARGUMENTS

Respondent alleges two errors of material fact in the Initial Decision. First, Respondent argues that there is insufficient evidence, beyond one instance of withholding release documents for unrelated shipments, to establish a normal, customary, and continuous practice under 46 C.F.R. § 545.4(b). Second, Respondent argues that the small claims officer awarded the full \$20,000 security deposits without determining whether the deposits were refundable, how they were applied, or whether Respondent was responsible for approximately \$34,000 in penalties resulting from

misdeclared cargo on previous shipments. Respondent further argues that the \$34,000 in penalties was relevant to the nature and purpose of assessing the security deposits on the shipments at issue.

The rules in Subpart S do not provide Claimant with a right to respond to a petition for reconsideration. Therefore, Claimant's Response has not been considered.

V. ANALYSIS

Respondent's Petition for Reconsideration does not establish a ground for reconsideration under Rule 304. Respondent asserts that reconsideration is warranted based on substantive errors of material fact in the Initial Decision. Although framed as errors of material fact, Respondent's arguments challenge the legal conclusions drawn from the facts considered in the Initial Decision. Mere disagreement with the legal conclusions drawn from the facts does not establish a permissible ground for reconsideration under Rule 304. 46 C.F.R. § 502.304(h).

Respondent first asserts that the Initial Decision erred in finding the requirement in 46 C.F.R. § 545.4(b) satisfied. Respondent argues that an isolated act or one-time commercial dispute is insufficient to establish a practice occurring on a normal, customary, and continuous basis, and that, because there was only one instance in which Respondent withheld release documents to secure payment of a debt arising from unrelated shipments, the element was not met.

Respondent further argues that its stated intention to require security deposits on future shipments does not establish that the challenged practice occurred on a normal, customary, and continuous basis. Respondent contends that requiring security deposits on future shipments is distinct from withholding release of documents for unrelated cargo to compel payment of those deposits and that the Initial Decision did not find the assessment of security deposits itself to be unjust and unreasonable.

Respondent's argument treats as separate conduct that the Initial Decision considered part of the same course of dealing. The Initial Decision did not rely on Respondent's continuing demands for security as evidence that the assessment of security deposits was itself an unjust and unreasonable practice. Rather, that evidence was relevant to whether Respondent's withholding of the release documents for the nine shipments was an isolated occurrence or an implementation of a continuing cross-shipment security requirement. Respondent conditioned release of the nine fully paid shipments on Claimant's compliance with that requirement, and Respondent's subsequent demands for additional security on the other outstanding shipments demonstrated that the underlying requirement was continuing rather than transaction specific. Thus, the Initial Decision considered Respondent's withholding of the release documents in the context of the continuing course of dealing it was used to enforce.

Respondent does not identify a material factual finding underlying this determination that was erroneous. Rather, Respondent disagrees with the legal significance attributed to the evidence establishing 46 C.F.R. § 545.4(b). Such disagreement does not establish a substantive error of material fact warranting reconsideration.

Respondent's second assertion concerns the award of \$20,000 in reparations. Respondent argues that the small claims officer awarded the full amount without determining whether the deposits were refundable, how they were applied, or whether Respondent was responsible for \$34,000 in penalties resulting from Claimant's previously misdeclared cargo. Respondent further contends that the prior penalties were relevant to the nature and purpose of requiring the security deposits.

This argument does not identify a substantive error of material fact in the Initial Decision. The Initial Decision considered Respondent's explanation for requiring the security deposits and expressly declined to determine whether Respondent could lawfully require security deposits for Respondent's stated reasons. Instead, the Initial Decision found that, even assuming Respondent could lawfully request such security, Respondent could not withhold release documents for unrelated, fully paid shipments to compel payment of the disputed deposits.

Whether the security deposits were refundable, subsequently applied to other obligations, or intended to protect Respondent against penalties arising from Claimant's prior shipments does not alter that determination. Those matters concern separate obligations arising from unrelated shipments and bills of lading. The violation resulted from Respondent's use of its control over the nine fully paid shipments to compel Claimant to pay the disputed \$20,000 associated with separate transactions. The Initial Decision further found that Claimant paid the funds under protest to secure release of the cargo and that, absent Respondent's unjust and unreasonable practice, Claimant would not have made the disputed payment. The \$20,000 payment, therefore, constitutes the financial injury found to have been proximately caused by the violation. Respondent's arguments concerning the disposition or purpose of the deposits do not identify a substantive error in a material factual finding underlying the award of reparations.

Respondent has not established a permissible ground for reconsideration under Rule 304 and the Petition for Reconsideration must be summarily rejected. 46 C.F.R. § 502.304(h).

VI. ORDER

For the foregoing reasons, it is **ORDERED** that Respondent's Petition for Reconsideration is **REJECTED**. It is

FURTHER ORDERED that Respondent's Motion to Stay is **DENIED**.

SO ORDERED
DEBRA L.
TESH -S

Debra L. Tesh
Small Claims Officer

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